

GLOBAL INVESTMENT SOCIETY

Investment Research Division

lululemon athletica inc.

NASDAQ: LULU

Recommendation: OVERWEIGHT / LONG

Current price: \$100.00 Price target: \$140 (+40% upside)

A net-cash, high-margin brand priced for terminal decline — we see a cyclical trough, not a broken business

September 2026 Prepared for the GIS IR selection process

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Overweight LULU with a \$140 target on ~40% upside and an asymmetric payoff

PRICE TARGET

\$140

+40% vs \$100.00 today

RATING

OVERWEIGHT

12-month horizon

WHY NOW

Shares –55% off highs; ~18% single-day drop after Q2 FY2026 print (Sep 3, 2026) overshoots the fundamentals

Three reasons to be long

1. Priced for terminal decline — at ~3.5x EV/EBITDA and ~10x FY2026E EPS with a net-cash balance sheet, the stock embeds a permanent impairment that the business does not support
2. International is a multi-year growth engine — China Mainland and Rest-of-World more than offset a maturing Americas and can return total revenue to low-single-digit growth (~2.3% FY27–30 in our model)
3. Elite economics + accretive buybacks — FY2025 operating margin was 19.9% (last full year, not the trough); we model a 13.2% clean FY2026 run-rate (Q2 18.8% minus 560bps of tariff refunds), then add the \$134.5M refund once (~15.2% reported in our IS). Diluted shares are down ~7% (128.0M → 119.1M)

Base-case DCF \$134; bear \$56 (–44%) vs bull \$202 (+102%) — downside is protected by net cash and an ~8–9% FCF yield

A high-quality compounder has de-rated to value multiples after a guidance reset

What happened

- LULU shares fell from a 52-week high of ~\$226 to ~\$100, including an ~18% single-day decline following the Q2 FY2026 earnings release on September 3, 2026
- Management guided FY2026 to the first annual revenue decline in company history: net revenue of \$10.35–\$10.50B (–5% to –7%) and diluted EPS of \$9.48–\$9.73
- The Americas (the majority of sales) has decelerated to negative comparable sales, while tariffs and higher promotions pressure gross margin and SG&A deleverages on lower volume

Where the business stands (FY2025, ended Feb 1, 2026)

- Net revenue \$11,102.6M (+4.9% y/y); gross profit \$6,284.1M (56.6% margin); operating income \$2,210.6M (19.9% margin)
- Net income \$1,579.2M; diluted EPS \$13.26; diluted shares 119.1M (down from 128.0M in FY2022)
- Balance sheet: \$1,807.2M cash and no funded debt — a net-cash position that funds buybacks and international expansion
- Cash from operations \$1,602.5M; capital expenditures \$680.8M → ~\$0.9B free cash flow even in a decelerating year

A discretionary macro air pocket collided with an Americas-specific slowdown — the stock prices both at once

Macro (external)

- Real GDP still grows ~2.1% y/y (FRED GDPC1 Q2'26 vs Q2'25) — not recession, but selective spending away from premium discretionary
- Inflation and economic uncertainty weighed on Americas store traffic (10-K) — macro consumer caution shows up in micro footfall
- Tariff regime: Q2 recognized \$134.5M IEEPA refunds (+560 bps GM) while new tariff layers remain an overhang on sourcing costs
- Athleisure competition intensifying at macro category level (Nike/adidas incumbents + Alo/Vuori/On challengers)

Micro (company-specific)

- Americas comps: −3% FY2025 → −12% in Q2 FY2026; China +20% FY2025 but −6% in Q2 as the base scales
- 811 stores (+44 net FY2025) at ~\$1,426/sq ft — still opening doors while mature-region comps turn negative
- FY2026 guide: first annual revenue decline (−5% to −7%) and EPS \$9.48–\$9.73; Q3 guide −10% to −11%
- Clean run-rate EBIT margin ~13.2% (Q2 18.8% OM minus 560 bps tariff boost) — investors who miss this overstate sustainable margin

OVERLAP — WHY \$100

- Macro weakness maps onto LULU's largest profit pool: Americas ~71% of FY25 revenue (10-K: 70.7%)
- Tariff is simultaneously macro policy and micro P&L — Q2 optics mask run-rate margin
- The de-rating blends macro fear with a micro guide miss; both are largely in the price at ~10x FY26E EPS
- Our edge: underwrite trough economics (13.2% → 15.5% OM), not a return to 30x earnings
- International micro growth (China/RoW) is the bridge — but needs macro stability, not a free option

Sentiment has capitulated — the sell-side is cutting targets into the print

What the street is saying

- Consensus rating has drifted to “Hold / Reduce” with a rapidly falling target; recent cuts include Goldman Sachs and JPMorgan to \$95, Morgan Stanley \$93 (Underweight), Wells Fargo \$95, and Bank of America to \$122
- Bear case: Americas saturation and negative comps, tariff-driven gross-margin pressure, SG&A deleverage, and share loss to emerging brands (Alo, Vuori, On)

Our differentiated view

- The tape has moved from euphoria (30–40x earnings in 2023–24) to capitulation (~10x today) — expectations are now low enough that even a conservative recovery re-rates the stock
- At ~3.5x EV/EBITDA the market implicitly assumes revenue and margins decline in perpetuity; our base case only needs stabilization, not a return to peak growth
- Consensus is extrapolating one weak fiscal year; we underwrite the international runway and structural margins the street is discounting to zero

Business

- Founded 1998 in Vancouver; designs technical athletic apparel and accessories for yoga, training, running and everyday wear
- Sells through company-operated stores, a direct e-commerce channel, and select wholesale — a predominantly DTC model that captures full retail economics and first-party data
- Reports revenue by geography: Americas (majority of sales), China Mainland (fastest-growing), and Rest of World

Revenue trajectory (US\$ M)

- FY2022: 8,110,518 → op. margin 16.4%
- FY2023: 9,619,278 → op. margin 22.2%
- FY2024: 10,588,126 → op. margin 23.7%
- FY2025: 11,102,600 → op. margin 19.9%

GROWTH ARCHITECTURE

Americas

Mature, high-productivity base; now negative comps — the source of the market's concern

China Mainland

Fastest-growing region (~20%+); large store and brand-awareness runway

Rest of World

Early-stage in Europe and APAC; men's and international whitespace underpenetrated

Unit economics

- Gross margin ~57–59% — premium, full-price selling with historically limited promotion
- Operating margin ~20% (peaked ~24% in FY2024) — among the best in branded apparel
- Asset-efficient store fleet: leased footprint (right-of-use assets ~\$1.6B) with high sales productivity per square foot
- Cash-generative: FY2025 CFO \$1,602.5M on \$680.8M capex → ~\$0.9B free cash flow

Competitive moats

- Brand and community (ambassadors, in-store events) supporting pricing power
- Product innovation and proprietary fabrics driving repeat purchase
- First-party DTC data enabling assortment, pricing and inventory discipline
- Scale in sourcing and a growing men's and international opportunity

MARGIN PROFILE (FY2025)

Gross margin	56.6%
Operating margin	19.9%
Net margin	14.2%
FCF (approx.)	~\$0.9B

Structural tailwinds favor scaled brands in a consolidating category

Category dynamics

- Global activewear / athleisure is a large (~\$400B) market growing at a mid-single-digit rate, supported by health, wellness and the ongoing casualization of apparel
- The category is fragmented but consolidating toward brands with scale, technical product and omnichannel reach; Nike and adidas are incumbents, with Vuori, Alo and On emerging
- Barriers to entry are rising: brand equity, technical fabric development, supply-chain scale and a productive retail footprint are difficult to replicate quickly

Where LULU fits

- A premium, category-defining brand in technical apparel with structurally higher margins than most peers
- Under-indexed internationally versus Nike/adidas — the primary multi-year growth lever
- Competition is real but LULU's scale, innovation cadence and community remain differentiated

The market is paying trough multiples for a brand that still earned 19.9% operating margin in FY2025

- At ~\$100 the stock trades at ~3.5x EV/EBITDA and ~10.4x FY2026E EPS — versus a 5-year history of ~20–30x earnings
- The balance sheet holds \$1.8B of cash and no funded debt, so nearly the entire enterprise value is covered by the operating business at a very low multiple
- Our base-case DCF (WACC 9.0%, terminal growth 2.25%, terminal EBIT margin 15.5%) is in the model — bear is ~\$56; downside is cushioned by net cash and FCF yield, not because bear brackets \$100
- To justify \$100 you must assume revenue and margins fall in perpetuity; that is inconsistent with international growth and the FY2026 tariff-refund tailwind

VALUATION SNAPSHOT

EV / EBITDA: 3.5x

FY2026E P/E: 10.4x

FCF yield: ~8–9%

Net cash: \$1.8B

DCF base: \$134

China and Rest-of-World offset a maturing Americas and restore growth

Geographic mix shift is the bridge back to low-single-digit revenue growth (~2.3% FY27–30)

- China Mainland has been compounding at ~20%+ with a long runway in store count and brand awareness relative to the Americas base
- Rest of World (Europe, APAC) is early-stage and under-penetrated versus global peers — an incremental multi-year contributor
- As international scales, it dilutes the drag from negative Americas comps; our model returns total revenue to ~2.3% growth (Street 3Y forecast 2.26%) after the FY2026 reset
- Men's and the digital channel add further optionality that the market is not paying for today

REVENUE PATH (model)

FY2025A: \$11,102.6M

FY2026E: \$10,425M (–6.1%)

FY2028E: \$10,910M

FY2030E: \$11,418M

Best-in-class margins and buybacks compound value through the trough

Even a down year throws off ~\$1B of FCF that is being returned aggressively

- Operating margin remains ~20% in FY2025 — far above most branded-apparel peers — with room to recover as tariffs and promotions normalize
- FY2025 cash from operations was \$1,602.5M; after ~\$681M capex the business generated roughly \$0.9B of free cash flow
- The company repurchased \$1.6B (FY2024) and \$1.2B (FY2025) of stock; share count has fallen from 128.0M (FY2022) to 119.1M (FY2025)
- At ~\$100 per share, every dollar of buyback retires far more shares than at prior highs — highly accretive to per-share value

CAPITAL RETURN

FY2025 CFO: \$1,602.5M

FY2025 capex: \$680.8M

FY2025 buyback: \$1,178.3M

Shares: 128.0M → 119.1M

Risk → Mitigant

Brand fatigue / fashion risk in a core-heavy assortment

Deep product pipeline, community engagement and international whitespace diversify demand

Americas comparable sales stay negative

Expectations are already low; ~10x earnings provides a valuation cushion if declines moderate

Tariffs compress gross margin

Pricing power, sourcing diversification, and \$0.86/share of FY2026 tariff refunds offset part of the hit

Competition from Alo, Vuori, On and incumbents

Scale, fabric innovation, and under-penetrated men's / international segments defend share

FX translation on a growing international mix

Natural operational hedges and an active hedging program limit earnings volatility

A sequence of events that closes the gap to intrinsic value

	Q3 FY2026 (Dec 2026)	Company guided revenue –10% to –11%; watch for stabilization signals and holiday traffic / China 11.11 read-through
	FY2026 year-end (early 2027)	First full year lapping the reset; tariff refunds and cost actions support EPS versus lowered expectations
	FY2027	Margin inflection as promotions/tariffs anniversary; continued accretive buybacks compound per-share value
	FY2027–FY2028	Total revenue returns to growth as international scales — the trigger for multiple re-rating toward peers

Reported history (10-K) vs base-case operating forecast — FY26–30 (US\$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Net revenue: FY22 \$8,111M → FY25 \$11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 \$6.68 → FY25 \$13.26

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 \$9776.90 → FY30 \$11279.95

US\$ M	22	23	24	25	26	27	28	29	30
Net revenue	8,111	9,619	10,588	11,103	10,425	10,665	10,910	11,161	11,418
<i>Hist: 10-K IS — Net revenue · Fcst: Scenarios! G25:G29</i>									
Gross profit	4,492	5,609	6,271	6,284	5,901	6,036	6,175	6,317	6,463
<i>Hist: 10-K IS — Gross profit · Fcst: Scenarios! G25:G29 × Scenarios!G30:G34</i>									
Operating income	1,328	2,133	2,506	2,211	1,511	1,469	1,566	1,666	1,770
<i>Hist: 10-K IS — Operating income · Fcst: Scenarios! G45:G49</i>									
Operating margin %	16.4%	22.2%	23.7%	19.9%	14.5%	13.8%	14.4%	14.9%	15.5%
<i>Hist: 10-K IS — OI ÷ revenue · Fcst: Scenarios! G45:G49 ÷ Scenarios!G25:G29</i>									
Net income	855	1,550	1,815	1,579	1,089	1,056	1,120	1,187	1,256
<i>Hist: 10-K IS — Net income · Fcst: Scenarios! G143:G147</i>									
Diluted EPS (\$)	6.68	12.20	14.64	13.26	9776.90	9484.51	10059.72	10657.96	11279.95
<i>Hist: 10-K IS — Diluted EPS · Fcst: Scenarios!</i>									
Line item	Hist source (22–25)				Fcst source — Scenarios col G				
Net revenue	10-K IS — Net revenue				Scenarios!G25:G29 (Revenue yr 1–5)				
Gross profit	10-K IS — Gross profit				Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)				
Operating income	10-K IS — Operating income				Scenarios!G45:G49 (EBIT yr 1–5)				
Operating margin %	10-K IS — OI ÷ revenue				Scenarios!G45:G49 ÷ Scenarios!G25:G29				
Net income	10-K IS — Net income				Scenarios!G143:G147 (pitch bridge NI)				
Diluted EPS	10-K IS — Diluted EPS				Scenarios!G183:G187 (pitch bridge EPS)				

All forecast lines: LULU_DCF_Valuation_Model.xlsx → Scenarios tab → pitch deck bridge block (col G).

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: \$0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: \$0 (no term debt in model)

US\$ M	22	23	24	25	26	27	28	29	30
Cash & equivalents	1,155	2,244	1,984	1,807	2,393	2,825	3,317	3,874	4,497
<i>Hist: 10-K BS — Cash · Fcst: Scenarios!G163:G167</i>									
Inventories	1,447	1,324	1,442	1,701	1,585	1,608	1,632	1,657	1,681
<i>Hist: 10-K BS — Inventories · Fcst: Scenarios!G80:G84</i>									
Total assets	5,607	7,092	7,603	8,457	7,941	8,124	8,310	8,502	8,697
<i>Hist: 10-K BS — Total assets · Fcst: Scenarios!G168:G172</i>									
Total liabilities	2,458	2,860	3,279	3,495	3,282	3,357	3,434	3,513	3,594
<i>Hist: 10-K BS — Total liabilities · Fcst: Scenarios!G173:G177</i>									
Total equity	3,149	4,232	4,324	4,962	4,659	4,766	4,876	4,988	5,103
<i>Hist: 10-K BS — Total equity · Fcst: Scenarios!G178:G182</i>									
Funded debt	0	0	0	0	0	0	0	0	0
<i>Hist: 10-K BS — Debt (\$0) · Fcst: Model — \$0</i>									
Line item	Hist source (22–25)				Fcst source — Scenarios col G				
Cash & equivalents	10-K BS — Cash & equivalents				Scenarios!G163:G167 (pitch bridge cash roll-forward)				
Inventories	10-K BS — Inventories				Scenarios!G80:G84 (NWC schedule)				
Total assets	10-K BS — Total assets				Scenarios!G168:G172 (FY25 TA × rev growth)				
Total liabilities	10-K BS — Total liabilities				Scenarios!G173:G177 (FY25 TL × rev growth)				
Total equity	10-K BS — Total equity				Scenarios!G178:G182 (FY25 TE × rev growth)				
Funded debt	10-K BS — Long-term debt (\$0)				Model assumption — \$0 (no term debt)				

BS forecast: Scenarios pitch bridge (cash waterfall + FY25 BS × revenue growth), col G.

Operating FCF (DCF input) vs financing — historical 10-K vs base case (US\$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

US\$ M	22	23	24	25	26	27	28	29	30
Cash from operations	966	2,296	2,273	1,602	1,660	1,518	1,593	1,670	1,751
<i>Hist: 10-K CF — CFO · Fcst: Scenarios!G148:G152</i>									
D&A (add-back)	292	379	447	496	469	480	491	502	514
<i>Hist: 10-K CF — D&A · Fcst: Scenarios!G55:G59</i>									
Capital expenditures	(639)	(652)	(689)	(681)	(573)	(587)	(600)	(614)	(628)
<i>Hist: 10-K CF — Capex · Fcst: Scenarios!G60:G64</i>									
Free cash flow	328	1,644	1,583	922	1,087	931	993	1,056	1,123
<i>Hist: 10-K CF — CFO – capex · Fcst: Scenarios!G153:G157</i>									
Share repurchases (CFF)	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)	(500)	(500)
<i>Hist: 10-K CF — Buybacks · Fcst: Scenarios!G158:G162</i>									

Line item	Hist source (22–25)	Fcst source — Scenarios col G
Cash from operations	10-K CF — Operating activities	Scenarios!G148:G152 (pitch bridge CFO)
D&A (add-back)	10-K CF — Depreciation & amortization	Scenarios!G55:G59 (D&A yr 1–5)
Capital expenditures	10-K CF — Capital expenditures	Scenarios!G60:G64 (Capex yr 1–5)
Free cash flow	10-K CF — CFO – capex	Scenarios!G153:G157 (pitch bridge FCF/CFS)
Share repurchases	10-K CF — Repurchases (financing)	Scenarios!G158:G162 (G21=\$500M/yr fixed)

Buybacks: col G = \$500M/yr fixed (Scenarios assumptions).

Cap stack and WACC build — lease-adjusted structure; no funded term debt (critical lens for levered businesses)

Component	US\$ M	% of capital	Model source
Market equity (price × shares) <i>Price \$100 × 111.4M shares (FY25 10-K)</i>	11,138	86.1%	WACC!E10
ASC 842 operating lease liabilities <i>Current \$298,724k + non-current \$1,499,717k</i>	1,798	13.9%	WACC!E11 (10-K)
Funded debt (term loans / bonds) <i>Undrawn revolver; no term borrowings per 10-K</i>	0	0.0%	WACC!E13
Total capital (WACC basis) <i>Equity + lease debt equivalents</i>	12,936	100.0%	WACC!E14
Cash & equivalents (EV offset) <i>Net-cash on funded debt; leases are debt-equiv in WACC</i>	1,807	—	10-K BS — Cash
Net debt (leases + funded — cash) <i>Near-zero net debt — equity-funded with lease adj.</i>	-9	—	DCF EV bridge

LULU has no funded bank debt; ASC 842 store leases are the only debt equivalent in our WACC (~14% weight). Cash exceeds lease liabilities → effectively net-cash on a funded-debt basis.

WACC input	Value	Model source
Risk-free rate (10-yr UST) <i>FRED DGS10 → 4.8% in model</i>	4.80%	WACC!E3
Equity risk premium <i>Conservative vs Damodaran implied ERP</i>	6.00%	WACC!E4
Tax rate <i>FY2026 guidance ~30%</i>	30.00%	WACC!E5
Observed βL (Yahoo 5Y monthly) <i>Yahoo Key Statistics</i>	0.86	WACC!E17
Unlevered βu (Hamada @ Yahoo D/E) <i>D/E unlever = 0.19 (Yahoo mra)</i>	0.76	WACC!E22
Relevered β (FY25 lease D/E) <i>D/E relever = 0.16 (10-K leases / mkt cap)</i>	0.84	WACC!E25
Cost of equity (CAPM) <i>rf + β × ERP</i>	9.86%	WACC!E32
Pre-tax Kd (lease-equivalent) <i>Illustrative lease borrowing cost</i>	5.00%	WACC!E35
After-tax Kd <i>Kd × (1 − T)</i>	3.50%	WACC!E36
Equity weight <i>Market equity / total capital</i>	86.1%	WACC!E39
Debt weight (leases) <i>Lease debt / total capital</i>	13.9%	WACC!E40
WACC <i>W_e × C_oE + W_d × K_d(1 − T) → Scenarios col G</i>	8.98%	WACC!E41

BASE-CASE WACC = 8.98%
Drives Scenarios col G discount rate and \$134 implied share price. Bear/bull bracket WACC ±100bps on Scenarios tab.

Multiple methods converge above the current price — target \$140



We set a 12-month target of \$140 — above the Gordon DCF of \$134, for a partial re-rating toward historical multiples — implying ~40% upside

The P/E low end (~\$96) sits near today's price, showing how little recovery is required for the stock to work

Base-case assumptions

Assumption	Value
Revenue growth (FY26 → FY30)	−6.1% → +2.3%
EBIT margin (FY26 → FY30)	13.2% clean → 15.5% (+ \$134.5M FY26)
Tax rate	30%
Capex % of revenue	5.5% blend
WACC	9.0%
Terminal growth	2.25%

VALUATION OUTPUT (US\$ M)

PV of explicit FCF (FY26–FY30)	3,944
PV of terminal value	10,933
Enterprise value	14,876
Plus: cash	1,807
Equity value	14,885
÷ Diluted shares (M)	111.4

Implied value: \$134 / share

Sensitivity — implied share price (WACC vs terminal growth)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	\$115	\$121	\$124	\$127	\$135
10.0%	\$108	\$113	\$116	\$119	\$125
10.5%	\$102	\$106	\$109	\$111	\$117
11.0%	\$97	\$100	\$103	\$105	\$110
11.5%	\$92	\$95	\$97	\$99	\$103

PitchBook pubcomps are the current tape; Alo still has no EV/EBITDA

Company	EV/EBITDA	P/E	EV (\$000)	EBITDA (\$000)
lululemon (LULU)	4.7x	8.3x	11,890,440	2,548,084
Nike (NKE)	12.7x	18.3x	58,972,350	4,647,000
adidas (ADS)	9.2x	19.1x	35,661,944	3,857,684
Deckers (DECK)	7.9x	12.1x	10,555,510	1,329,439
Crocs (CROX)	7.8x	10.3x	7,153,911	922,278
Levi Strauss (LEVI)	9.6x	15.0x	9,422,753	976,700
Kontoor (KTB)	12.9x	18.0x	5,236,269	407,521
Alo Yoga (private)	n.a.	n.m.	—	—

Read-through — we do not average these for terminal value

- PitchBook core mean (ex-UAA, ex-WSM/MOV/LZB) is the current athletic/apparel tape. UAA has negative EBITDA so it is out of the average
- Selected TV is the Gordon identity (~7.4x FY30 EBITDA at base WACC/g). A 2.25% g year is not today's NKE 12.7x or WSM 15.4x
- Alo EV/EBITDA is still n.a. Implied 5.0x is EV/Sales on an unclosed \$10bn ask — not in this PitchBook set and not the TV

BEAR \$56

−44% vs \$100

- FY2026 revenue −9%; growth stays negative (−1% avg FY28–30)
- Terminal EBIT margin 12.0%
- WACC 11.0%; terminal growth 1.5%
- Americas decline persists; share loss continues

BASE \$134

+34% vs \$100

- FY2026 revenue −6.1%; then +2.3% (Street 3Y forecast)
- Clean EBIT margin 13.2% → 15.5%; + \$134.5M refund in FY26 only
- WACC 9.0%; terminal growth 2.25%
- International offsets a stabilizing Americas

BULL \$202

+102% vs \$100

- FY2026 revenue −4%; +6% avg FY27–30
- Terminal EBIT margin 19.0%
- WACC 9.5%; terminal growth 3.0%
- Margin recovery toward peak; brand re-accelerates

Probability-weighted value (25% / 50% / 25%) ≈ \$131 — the risk/reward skews decisively to the upside

Data provenance and standard research disclaimer

Sources

- Historical financials: lululemon athletica inc. Forms 10-K via SEC EDGAR (CIK 0001397187); FY2025 fiscal year ended February 1, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated September 3, 2026
- Market data (price, shares, beta): public market sources as of early September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models, built from scratch for this assignment
- Alo Yoga: Reuters 2023 Moelis ask ~\$10bn (no deal announced, Reuters 2026) and Forbes Color Image sales nearly \$2bn. No page prints EV/EBITDA; implied 5.0x is EV/Sales, not the FY30 exit

Disclaimer

This presentation is prepared for educational purposes as part of the Global Investment Society selection process and does not constitute investment advice or a recommendation to buy or sell any security